

Economics Test -14

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Q1. Which of the following statements in Economics is NOT correct?

- A. Average fixed cost curve is downward sloping.
- B. Total cost is the sum of the total variable cost and the total fixed cost.
- C. In the long run, all inputs are fixed.**
- D. Short run marginal cost, average variable cost and short run average cost curves are 'U'-shaped.

Solution: In the long run, all inputs are fixed. Fixed inputs are those that can never be changed. All inputs are variable in the long run. Short-run marginal cost (MC), average variable cost (AVC) and short-run average cost (AC) curves are generally 'U' shaped in accordance with the law of variable proportions. Fixed costs are distributed over a larger volume when the quantity produced increases.

Q2. In _____, the biggest industrialists of India got together and drafted a joint proposal for setting up a planned economy in the country.

- A. 1941
- B. 1940
- C. 1944**
- D. 1936

Solution: 1944 . Bombay Plan : The Plan was created and the document was signed by J R D Tata, son of Jamsetji Tata's cousin. Its central principle was that the economy could not grow without government participation and regulation. The prime objective was to double the agricultural sector's (then-existing) output and fivefold the industrial sector's output over 15 years.

Q3. The money invested by foreign MNC's is known as :

- A. Foreign monetary investment
- B. Direct investment
- C. Foreign direct investment**
- D. foreign collateral

Solution: Foreign Direct Investments (FDI) – to the investment made by a company or individual from one country into another country. Types of FDI: Horizontal FDI (a company establishes the same type of business operation in a foreign country as it operates in its home country.), Vertical FDI (a business acquires a complementary business in another country), and Conglomerate FDI (a company invests in a foreign business that is unrelated to its core business).

Q4. In India, Core sector industries do NOT include:

- A. Fertilizers
- B. Crude Oil
- C. Cement
- D. Sugar**

Solution: Sugar . The country's eight core industries (Coal, Crude oil, Natural gas, Refinery Products, Fertilizers, Steel, Cement, and Electricity). Core sector industries – Essential for the growth and development of the economy.

Q5. What is the usual shape for an average fixed cost curve?

- A. Rectangular hyperbola**
- B. Inverted V-shaped
- C. U-shaped
- D. Horizontal line

Solution: Rectangular hyperbola. The average fixed cost (AFC) is the fixed cost that does not change with the change in the number of goods and services produced by a company. It is downward sloping because fixed costs are distributed over a larger volume when the quantity produced increases.

Q6. ONGC _____ is a subsidiary of the Indian public sector enterprise, Oil and Natural Gas Corporation.

- A. Vishesh
- B. Videsh**
- C. Vinesh
- D. Vighnesh

Solution: Videsh . ONGC Videsh is a subsidiary of the Indian public sector enterprise, Oil and Natural Gas Corporation and it is working globally for the energy security of India.

Q7. If the average production is falling, what will be the effect on the marginal production ?

- A. Its slope will be positive.
- B. This will be above average production.
- C. This will be similar to average production.
- D. It will be less than average production.**

Solution: The marginal product (MP) and average product (AP) initially increase and then decrease due to the operation of the Law of Diminishing Marginal Returns. As long as MP is higher than AP, AP increases. At the highest point of AP, i.e., when AP is at its maximum, MP is equal to AP.

Q8. Big Indian industrialists got together in 1944 and drafted a joint proposal for setting up a planned economy in the country after attaining Independence was called:

- A. The Delhi Plan
- B. The Bombay Plan**
- C. The Madras Plan
- D. The Calcutta Plan

Solution: The Bombay Plan. The purpose of this plan was that the state should take major initiatives in the industrial and other economic sectors, as a result, soon after India's independence, the Planning Commission (formed-15 March 1950) was formed, headed by the Prime Minister. It became the central machinery to decide which path and strategy India would adopt for its development. .

Q9. Which of the following is NOT a PSU ?

- A. GAIL
- B. BSNL**
- C. SAIL
- D. ONGC

Solution: BSNL (Bharat Sanchar Nigam Limited). Public Sector Undertakings (PSUs) – They are established and owned by the Government. Established in 2000. List of Maharatna PSU company: Bharat Heavy Electricals Limited (BHEL), Bharat Petroleum Corporation Limited (BPCL), Coal India Limited (CIL), Gas Authority of India Limited (GAIL), Hindustan Petroleum Corporation Limited (HPCL), Indian Oil Corporation Limited (IOCL), National Thermal Power Corporation (NTPC), Oil and natural gas corporation (ONGC), Power Grid Corporation of India, Steel Authority of India Limited (SAIL).

Q10. Who chairs the Monetary Policy Committee in India?

- A. Union Finance minister
- B. Deputy Governor, Reserve Bank of India
- C. Comptroller and Auditor General of India
- D. Governor, Reserve Bank of India**

Solution: Governor, Reserve Bank of India . The Monetary Policy Committee (MPC) is a statutory body constituted as per Section 452B under the RBI Act of 1934 by the Central Government. It consists: – RBI Governor as its ex officio chairperson, Deputy Governor in charge of monetary policy, member ex officio, An officer of the Bank nominated by the Central Board as member ex officio, Three persons are appointed by the central government.

Q11. Which of the following is NOT a Navratna company?

- A. Engineers India Limited
- B. Oil India Limited
- C. Airports Authority of India**
- D. Bharat Electronics Limited

Solution: Airports Authority of India. Established – 1 April 1995, Headquarter – New Delhi. It is a statutory body, under the jurisdiction of Directorate General of Civil Aviation, Ministry of Civil Aviation, Government of India. Navaratna companies could invest up to Rs 1,000 crore without explicit government approval. List of Navratna Companies and their establishment year – Bharat Electronics Limited (1954), Container Corporation of India Limited (1988), Engineers India Limited (1965), Rail Vikas Nigam Limited (2003). Oil India Limited (1959).

Q12. Total cost per unit of output is known as

- A. average product
- B. average cost**
- C. average variable cost
- D. average fixed cost

Solution: Average cost – It is calculated by dividing the total cost of production by the total number of units produced. Average product:- It refers to the average output (or products) produced by each input (factors of production like labor and land). Average variable cost (AVC) is calculated by dividing variable cost by the quantity produced. Average fixed cost (AFC) is the fixed costs of production divided by the quantity of output produced.

Q13. In which year did the Government of India bring FRBM (Fiscal Responsibility and Budget Management) Act into effect ?

- A. 2015-16
- B. 2012-13

C. 2004-05

D. 2008-09

Solution: 2004-05. The Fiscal Responsibility and Budget Management (FRBM) Act 2003 envisages the setting of limits on the Central government's debt and deficit. The Centre and states are mandated to reduce their fiscal deficit to 3 percent of GDP.

Q14. According to the 2014 Rangarajan Committee regarding national poverty lines in India, which of the following statements is correct?

- A. A person who has a monthly per capita consumption expenditure of less than Rs. 1,272, living in the rural areas should be considered poor.
- B. A person who has a monthly per capita consumption expenditure of less than Rs. 2,407, living in the urban areas should be considered poor.
- C. A person who has a monthly per capita consumption expenditure of less than Rs. 872, living in the rural areas should be considered poor.
- D. A person who has a monthly per capita consumption expenditure of less than Rs. 1,407, living in the urban areas should be considered poor.**

Solution: A person who has a monthly per capita consumption expenditure of less than Rs 1407, living in the urban areas should be considered poor. Rangarajan Committee (2014) : it was set up by the Planning Commission in 2012 to review the methodology for the measurement of poverty in India. Recommendation – The poverty line should be based on the monthly per capita consumption expenditure, The poverty line should be revised every five years.

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Q15. If the price elasticity of demand is less than one, then the demand for the goods is said to be _____.

- A. Perfectly inelastic
- B. Inelastic**
- C. Perfectly elastic
- D. Unitary-elastic

Solution: I nelastic. Price Elasticity of Demand is a measurement of the change in the consumption of a product in relation to a change in its price. If price elasticity is greater than 1 then the good is elastic , if less than 1 then it is inelastic, if the price elasticity is infinite then a good is perfectly elastic, and if the good's price elasticity is 0 then it is perfectly inelastic.

Q16. In economics, the slope of the demand curve is typically

- A. Curved moving from left to right
- B. Downward from left to right**
- C. Upward from left to right
- D. Straight parallel to X axis from left to right

Solution: Downward from left to right. Demand curve indicates a negative relationship between the quantity demanded of the good and the prices. When prices increase, demand will decrease.

Q17. What does the issue price in the Public Distribution System (PDS) indicate?

- A. Price lower than the market price**

- B. Price higher than the market price
- C. No relation of issue price with market price
- D. Price equal to the market price

Solution: Price lower than the market price. The Public Distribution System (PDS) is an Indian food Security System established under the Ministry of Consumer Affairs, Food, and Public Distribution. In June, 1997, the Government of India (GOI) launched the Targeted Public Distribution System (TPDS) with a focus on the poor.

Q18. Which of the following is calculated as the percentage change in the demand for the goods divided by the percentage change in the price for the goods?

- A. Elasticity of Demand**
- B. Product Cost
- C. Total Utility
- D. Surplus

Solution: Elasticity of Demand. Types of elasticity of demand - Price Elasticity of Demand (PED), Cross Elasticity of Demand (XED), and Income Elasticity of Demand (YED). Product cost refers to the costs incurred to create a product. Total utility is the aggregate amount of satisfaction or fulfillment that a consumer receives through the consumption of a specific good or service. Surplus - An amount that is extra or more than is needed.

Q19. The reduction in the external value of the domestic currency is called:

- A. Increase in purchasing power
- B. Economic growth
- C. Devaluation of currency**
- D. Decrease in inflation

Solution: Devaluation of currency. Devaluation is the deliberate downward adjustment of the value of a country's currency relative to another currency or standard. It is a monetary policy tool used by countries with a fixed exchange rate or semi-fixed exchange rate. The main advantage of it is to make the exports of a country or currency area more competitive, as they become cheaper to purchase as a result.

Q20. The measure of responsiveness of the demand for Tea towards the change in the price of Coffee in the market is an example of _____.

- A. Direct Demand
- B. Cross Elasticity of Demand**
- C. Composite Demand
- D. Indirect Demand

Solution: Cross Elasticity of Demand refers to the way that changes in the price of one good can affect the quantity demanded of another good. Direct demand is the demand for a final good. Food, clothing and cell phones are an example of this. Also called autonomous demand, it's independent of the demand for other products. Composite demand happens when goods or services have more than one use so that an increase in the demand for one product leads to a fall in supply of the other. E.g. milk which can be used for cheese, yogurts, cream, butter and other products. Indirect demand is the demand for goods and services that are needed to produce the products in direct demand. For example, energy to power the production of goods.

Q21. What is the full form of SLR in the context of economics?

- A. Stocks Liquidity Ratio
- B. Statutory Liquidity Ratio**
- C. Sterilization Liquidity Ratio
- D. State Liquidity Ratio

Solution: Statutory Liquidity Ratio (SLR) - refer to the proportion of a bank's total deposits that it is required to hold in the form of liquid assets, such as cash, government securities, and gold. Cash Reserve Ratio (CRR) - portion of a bank's total deposits that it is required to hold in the form of cash reserves with the central bank (RBI). Bank rate - The rate at which a central bank (RBI), provides loans to a commercial bank.

Q22. The balance of imports and exports of goods is referred to as

- A. current account deficit
- B. trade balance**
- C. current account balance
- D. current account

Solution: Trade balance or Balance of trade (BOT):- It is the difference between the monetary value of a nation's exports and imports over a certain period of time. Current account deficit (CAD) - Total value of goods and services that a country imports exceeds the total value of goods and services that it exports. Current account balance (CAB)- It is part of a country's financial inflow and outflow record.

Q23. According to the law of demand, the consumer's demand for a good must be _____.

- A. directly related to the supply of the good
- B. inversely related to the price of the good**
- C. directly related to the price of the good
- D. inversely related to the supply of the good

Solution: Inversely related to the price of the good. The law of demand and supply given by Adam Smith. Law of demand: An economic principle explaining the negative correlation between the price of a good or service and its demand. If all other factors remain the same, when the price of a good or service increases, the quantity of demand decreases, and vice versa.

Q24. Which of the following is a public sector industry

- A. BHEL**
- B. Dabur Industry
- C. Bajaj Auto
- D. TISCO

Solution: BHEL . Bharat Heavy Electricals Limited is India's largest government-owned power generation equipment manufacturer, under the Ministry of Heavy Industries' administrative control. Founded: 13 November 1964, Headquarters: New Delhi.

Q25. What does the term 'bank rate' refer to?

- A. Rate of interest charged by a scheduled commercial bank on its loans to a private sector bank
- B. Rate of interest charged by a central bank on its loans to a commercial bank.**
- C. Rate of interest charged by a private sector bank on its loans to a commercial bank.

D. Rate of interest charged by a non-scheduled bank on its loans to individuals

Solution: Other Measures: CRR (Cash Reserve Ratio) – The percentage of total deposits a bank must have in cash to operate risk-free. SLR (Statutory Liquidity Ratio) – The minimum percentage of deposits that a commercial bank has to maintain in the form of liquid cash, gold or other securities. RR (Repo Rate) – The rate at which the central bank of a country lends money to commercial banks. RRR (Reverse repo rate) – The rate at which the central bank of a country (Reserve Bank of India in case of India) borrows money from commercial banks.

Q26. Which of the following Central Public Sector Enterprises does NOT have the 'Maharatna' Status (as on January 2021) ?

- A. GAIL (India) Limited
- B. Coal India Limited
- C. Oil India Limited**
- D. Steel Authority of India Limited

Solution: Oil India Limited – It is the central public sector undertaking is a Navratna, with the Ministry of Petroleum and Natural Gas, Government of India. Founded – 18 February 1959. Some Maharatna Companies: Gas Authority of India Limited (1984), Steel Authority of India (1954), Coal India Limited (1975), Bharat Petroleum Corporation Limited (1952).

Q27. Which of the following is NOT an instrument of the monetary policy of the Reserve Bank of India?

- A. Goods and Services Tax (GST)**
- B. Statutory Liquidity Ratio (SLR)
- C. Bank Rate
- D. Cash Reserve Ratio

Solution: Goods and Services Tax (GST) – An indirect tax imposed on the supply of goods and services. Instruments of Monetary Policy: Qualitative – Rationing of credit, Consumer Credit Regulation, Guidelines, Margin requirements, Moral Suasion. Quantitative – Open Market Operations, Bank Rate, Repo Rate, Reverse Repo Rate, Cash Reserve Ratio, Statutory Liquidity Ratio, Marginal standing facility, and Liquidity Adjustment Facility (LAF).

Q28. Gross primary deficit is equal to _____.

- A. difference between gross fiscal deficit and interest payments**
- B. difference between total expenditure and total receipts
- C. difference between net borrowings and net capital receipts
- D. difference between revenue deficit and capital expenditure

Solution: Gross Primary Deficit is Gross Fiscal Deficit less interest payments.

Q29. Which of the following public sector enterprises come under the category of Maharatna?

- A. MTNL
- B. BSNL
- C. IOCL**
- D. HAL

Solution: IOCL (Indian Oil Corporation Limited). Other Maharatna Companies – Bharat Petroleum Corporation Limited (BPCL), Steel Authority of India Limited (SAIL), Oil and

Natural Gas corporation (ONGC), Indian Oil Corporation Limited (IOCL), Bharat Heavy Electricals Limited (BHEL), Rural Electrification Corporation (REC), Hindustan Petroleum Corporation Limited (HPCL), Coal India Limited (CIL), National Thermal Power Corporation (NTPC), Gas Authority of India Limited (GAIL), Power Finance Corporation, Power Grid Corporation of India.

Q30. The portion of agricultural product that is sold by farmers in the market is popularly known as _____.

- A. marketable agriculture product
- B. permitted agriculture product
- C. minimum marketed product
- D. marketed surplus**

Solution: Marketed surplus. This may be expressed as follows: $MS = P - C$. Where MS = Marketable surplus, P = Total production, and C = Total requirements (family consumption, farm needs, payment to labor, artisans, landlord and payment for social and religious work).

Q31. _____ demand for money arises mainly due to the uncertainty of future receipts and expenses.

- A. Transactions
- B. Generic
- C. Speculative
- D. Precautionary**

Solution: Precautionary . The amount of money required for current transactions of companies and individuals is known as transaction demand for money. Speculative demand arises from the perception that money is optimally part of a portfolio of assets being held as investments.

Q32. Privatisation of the public sector undertakings by selling off part of the equity of PSUs to the public is known as:

- A. Globalisation
- B. Disinvestment**
- C. Liberalisation
- D. Industrialisation

Solution: Disinvestment . India introduced the LPG (Liberalisation, Privatisation, Globalisation) model in their new Industrial Policy, 1991. Globalisation – The growing interdependence of the world's economies, cultures, and populations. Liberalisation is the process of the elimination of control of the state over economic activities. Industrialisation is a historical process of social and economic change whereby a country's economy comes to be based primarily on the manufacturing of goods.

Q33. Identify the goods whose demand falls due to the fall in their price.

- A. Substitute goods
- B. Normal goods
- C. Inferior goods
- D. Giffen goods**

Solution: Giffen goods is a low-income, non-luxury product for which demand increases as the price increases and vice versa, in which Income effect is stronger than the substitution effect. Veblen goods are similar to Giffen goods but with a focus on luxury items. Substitute goods are commodities which the consumer demands to be used in place of another

good example. Inferior goods – demand drops when people's incomes rise. Normal goods are those whose demand increases as people's incomes and purchasing power rise.

Q34. The sum of total fixed cost and total variable cost is known as:

- A. total revenue
- B. total expenditure
- C. total product

D. total cost

Solution: Total cost. It is the overall cost of production, which includes both fixed and variable components of the cost. Total revenue is the full amount of total sales of goods and services. Total Expenditure is the sum of the price paid for one or more products or services multiplied by the amount of each item purchased. Total Product as the total volume or amount of final output produced by a firm using given inputs in a given period of time. Total cost = Total fixed cost + Total variable cost.

Q35. Which formula is used for the calculation of Ex Ante Aggregate Demand?

- A. $C + I - cY$
- B. $C + cY$
- C. $cY - C + I$

D. $C + I + cY$

Solution: $C + I + cY$ The ex ante aggregate demand for final goods is the sum total of the ex ante consumption expenditure and ex ante investment expenditure on such goods, viz. $AD = C + I$. So, aggregate demand for final goods can be written as $AD = C + I + cY$.

Q36. _____ refers to a method adopted by the Central Bank to persuade or convince the commercial banks to advance credit in the economic interest of the country.

- A. Marginal Standing Facility
- B. Moral Suasion**
- C. Credit Rationing
- D. Margin Requirements

Solution: Moral Suasion. Marginal Standing Facility (MSF): Facility under which scheduled commercial banks can borrow additional amounts under overnight facility by dipping in their 'Statutory Liquidity Ratio' (SLR) portfolio up to a certain limit.

Q37. Which of the following expenses is a part of 'fixed cost' in production of surgical garments?

- A. Water
- B. Waste disposal
- C. Electricity

D. Workers' salary

Solution: Workers' salary. Fixed cost – It is the cost of a business expense that doesn't change even when there's an increase or decrease in the number of goods and services produced or sold. Examples – Rent on the factory, interest payment, and salary of permanent staff.

Q38. Which of the following is an overhead expense in a production cost?

- A. Raw materials

B. Labour

C. Insurance

D. Consumable manufacturing supplies

Solution: Insurance. Production costs – It refers to the costs a company incurs from manufacturing a product or providing a service that generates revenue for the company. Production costs include a variety of expenses, such as labor, raw materials, consumable manufacturing supplies and general overhead. Marginal cost – It is the change in total production cost that comes from making or producing one additional unit. MC (Marginal Cost) = $\Delta C / \Delta Q$, where ΔC = Change in cost, ΔQ = Change in quantity.

Q39. If ex ante aggregate demand and ex ante aggregate supply are plotted together in a graphical diagram, then at which point equilibrium will be reached?

A. Where ex ante aggregate demand is equal to ex ante aggregate supply

- B. Where ex ante aggregate demand is zero
- C. Where ex ante aggregate demand is less than ex ante aggregate supply
- D. Where ex ante aggregate demand is more than ex ante aggregate supply

Solution: The aggregate demand / aggregate supply model is a model that shows what determines total supply or total demand for the economy and how total demand and total supply interact at the macroeconomic level. Aggregate supply is the total quantity of output firms will produce and sell – in other words, the real GDP. Aggregate demand is the amount of total spending on domestic goods and services in an economy. Equilibrium point is E and equilibrium level of income is OYI

Q40. Which of the following is NOT a monetary policy instrument of RBI?

A. Government Spending

- B. Bank Rate
- C. Open Market Operations
- D. Cash Reserve Ratio

Solution: Government Spending. The money spent by the public sector on the acquisition of goods and provision of services such as education, healthcare, social protection, and defence.

Q41. Which of the following companies is NOT on the list of Maharatna Companies in India?

- A. Bharat Petroleum Corporation Limited
- B. Coal India Limited
- C. Cement Corporation of India**
- D. Bharat Heavy Electricals Limited

Solution: Cement Corporation of India. Maharatna companies in India – Bharat Heavy Electricals Limited (BHEL), Bharat Petroleum Corporation Limited (BPCL), Coal India Limited (CIL), Gas Authority of India Limited (GAIL), Hindustan Petroleum Corporation Limited (HPCL), Indian Oil Corporation Limited (IOCL), National Thermal Power Corporation (NTPC), Oil and Natural Gas Corporation (ONGC), Powergrid Corporation of India, Steel Authority of India Limited (SAIL), Power Finance Corporation Limited.

Q42. In which year was the Liberalized Exchange Rate Management System (LERMS) instituted in India?

- A. 1986
- B. 1992**
- C. 2001
- D. 2005

Solution: 1992. The Liberalized Exchange Rate Management System (LERMS) was a new system of exchange rate management. According to this system, forty percent of the proceeds of exports and inward remittances was purchased at the official exchange rate by the (RBI) Reserve Bank of India for official use. The remaining sixty percent of the proceeds could be converted at market-determined exchange rates.

Q43. Buffer stock, created by the Indian government, is the stock of:

- A. wood
- B. meat
- C. food grains**
- D. plastics

Solution: Food grains. Buffer stock refers to a reserve of a commodity that is used to offset price fluctuations and unforeseen emergencies. It was procured by the government through Food Corporation of India (FCI). The concept of buffer stock was first introduced during the 4th Five Year Plan (1969-74).

Q44. According to recommendations of which committee was NSE (National Stock Exchange) established in India?

- A. Rajesh Krishnan Committee
- B. Sri Krishna Committee
- C. Pherwani Committee**
- D. Venkatachaliah Committee.

Solution: Pherwani Committee. Headed by M. J. Pherwani was constituted by the Government of India in 1990-91 to study the feasibility of establishing a nationwide stock exchange in India. National Stock Exchange (NSE) - Established in 1992. Headquarters - Mumbai. Sri Krishna Committee (2010) - Formation of Telangana. Venkatachaliah Committee (2000) - The National Commission for review of the working of the Constitution (NCRWC).

Q45. Which of the following assumptions is made to determine the level of aggregate demand for final goods in the economy? I. A constant final goods price and constant rate of interest over short run are assumed. II. The aggregate supply is assumed to be perfectly elastic.

- A. Only II
- B. Only I
- C. Neither I nor II
- D. Both I and II**

Solution: Both I and II. Effective demand principle : Under such circumstances, aggregate output is determined solely by the level of aggregate demand. An increase (decrease) in autonomous spending causes aggregate output of final goods to increase (decrease) by a larger amount through the multiplier process.

Q46. In which year did the disinvestment process in Public

Sector Enterprises in India start?

- A. 2000
- B. 1991**
- C. 2018
- D. 1990

Solution: 1991. Disinvesting - which an investor offloads or disposes of an asset or a partial stake in the asset. For example - Disinvestment in BPCL and others , Railway catering, Gail (India) LTD. Disinvestment Process in Public Sector Enterprises - Government's stake in the public sector enterprise is to be reduced. The main objective of disinvestment is to improve financial discipline and facilitate modernisation.

Q47. _____ is the process of reducing barriers to trade and increasing participation in the international economy through trade.

- A. Trade diversion
- B. Trade capacity
- C. Trade integration**
- D. Trade creation

Solution: Trade integration . Trade diversion is related to international economics in which trade is diverted from a more efficient exporter towards a less efficient one by the formation of a free trade agreement or a customs union. Trade capacity is the ability of a country to produce goods and services for export. Trade creation is used to describe the situation where a country reduces its trade barriers, leading to an increase in trade.

Q48. Privatization of the public sector enterprises by selling off part of the equity of PSEs to the public is known as:

- A. commercialisation
- B. modernisation
- C. disinvestment**
- D. outsourcing

Solution: Disinvestment. Outsourcing is where a company hires an external firm to conduct certain aspects of its business. Examples - Advertising, office and warehouse cleaning, and website development. Modernization theory is used to explain the process of modernization within societies. Example - Cell phones have changed the lives of millions throughout the world. Commercialization is the process of bringing new products or services to market. Example - selling furniture via a storefront or a restaurant.

Q49. Which deficit reflects the borrowing needs of the government?

- A. Capital loss
- B. Revenue deficit
- C. Primary deficit
- D. fiscal deficit**

Solution: Fiscal deficit : The difference between total revenue and total expenditure of the government. Fiscal Deficit = Total expenditure of the government (Capital and Revenue expenditure) - Total income of the government (Revenue receipts + recovery of loans + other receipts).

Q50. _____ means the additional satisfaction or benefit (utility) that a consumer derives from buying an additional

unit of a commodity or service.

- A. Consumer Demand
- B. Total Utility
- C. Marginal Utility**
- D. Equilibrium

Solution: Marginal Utility. Positive marginal utility – When having more of an item brings additional happiness. Zero marginal utility – When consuming more of an item brings no extra measure of satisfaction. Negative marginal utility – The consumption of another unit, thereby decreasing the overall total utility.

Q51. MSP is the abbreviated form of:

- A. Minimum Stock Price
- B. Minimum Support Price**
- C. Maximum Sale Price
- D. Maximum Support Price

Solution: Minimum Support Price. MSP is a “minimum price” for any crop that the government considers as remunerative for farmers and hence deserving of “support”. Commission for Agricultural Costs and Prices (CACP) is an attached office of the Ministry of Agriculture and Farmers Welfare. CACP recommends MSPs for crops.

Q52. Find the marginal product.

- A. 13.33 and 12.50
- B. 18, 12 and 10**
- C. 9, 4 and 2.50
- D. 5, 9.33 and 10

Solution: Marginal product = $(28 - 10) = 18 = (40 - 28) = 12 = (50 - 40) = 10$

Q53. Which Navratna company is fondly called ‘Vizag steel’?

- A. Bokaro Steel Plant
- B. Rashtriya Ispat Nigam Limited**
- C. Rourkela Steel Plant
- D. IISCO Steel Plant

Solution: Rashtriya Ispat Nigam Limited. It is a central public sector enterprise under the ownership of the Ministry of Steel, Government of India. Founded – 18 February 1982. Headquarters – Visakhapatnam. Navaratna companies could invest up to Rs 1,000 crore without government approval.

Q54. Which of the following is a ‘Maharatna’ company?

- A. Oil India Limited
- B. Bharat Petroleum Corporation Limited**
- C. Bharat Electronics Limited (BEL)
- D. Hindustan Aeronautics Limited

Solution: Bharat Petroleum Corporation Limited. List of Maharatna Companies in India (12) – Bharat Heavy Electricals Limited, Coal India Limited, GAIL India Limited, Hindustan Petroleum Corporation Limited, Indian Oil Corporation Limited, National Thermal Power Corporation Limited, Oil and Natural Gas Corporation Limited, Power Finance Corporation, Power Grid Corporation of India Limited, Rural Electrification Corporation Limited, Steel Authority of India Limited.

Q55. In Economics, Total variable cost ÷ Units of output produced = _____.

- A. Average product
- B. Total product
- C. Average fixed cost
- D. Average variable cost**

Solution: Average variable cost. Total Product refers to the total amount of output that a firm produces within a given period of time, utilising given inputs. Average product (total product ÷ units of input factors) refers to the average output produced by each input factor of production like labor and land.

Q56. OTPC is a joint venture of which of the following PSUs?

- A. ONGC**
- B. CIL
- C. NTPC
- D. SAIL

Solution: ONGC (Oil and Natural Gas Corporation): Founded – 14 August 1956. OTPC (ONGC Tripura Power Company Ltd.): Founded – 2004. NTPC (National Thermal Power Corporation): Founded – 7 November 1975. SAIL (Steel Authority of India): Founded – 24 January 1973. CIL (Coal India Limited): Founded in 1975.

Q57. The monetary policy of India is formulated by the _____.

- A. Industrial Finance Corporation of India
- B. Reserve Bank of India**
- C. Industrial Development Bank of India
- D. Central Committee

Solution: Reserve Bank of India. Monetary policy refers to the policy of the central bank with regard to the use of monetary instruments under its control to achieve the goals to maintain price stability while keeping in mind the objective of growth. Instruments of Monetary Policy – Repo Rate, Reverse Repo Rate, Liquidity Adjustment Facility, Marginal Standing Facility, Bank Rate, Cash Reserve Ratio, Statutory Liquidity Ratio, Open Market Operations, Market Stabilization Scheme. Industrial Finance Corporation of India (IFCI): Established in 1948, Headquarter – New Delhi. Industrial Development Bank of India (IDBI) : Established in 1964, Headquarter – Mumbai.

Q58. Which of the following is the correct full form of “MRTP” in MRTP Act 1969?

- A. Monopolies Reservation Trade Practices Act
- B. Monopolies and Restrictive Trade Practices Act**
- C. Money Reservation Trade Practices Act
- D. Money Reservation Trade Policy Act

Solution: Monopolies and Restrictive Trade Practices Act (implemented in 1969). This law was designed to ensure that the economic system’s operation does not result in the concentration of economic power in the hands of a few. This act has been repealed and replaced by the Competition Act of 2002, which took effect on September 1, 2009.

Q59. Who formulated the ‘Peoples Plan’ (an economic plan) in India?

- A. Jay Prakash Narayan
- B. MN Roy**
- C. Sardar Vallabhai Patel
- D. C.D. Deshmukh

Solution: MN Roy (1945) – On behalf of the “post war reconstruction Committee” of the Indian federation of labour. This plan was for a ten year period and gave greatest priority to agriculture. Other Economic plan: National Planning Committee (1938) by Subash Chandra Bose. The Bombay Plan (1944) proposed by a group of industrialists. Gandhian Plan (1944) by Sriman Narayan Agarwal. Sarvodaya Plan (1950) by Jaiprakash Narayan.

Q60. The rate of increase in ex-ante consumption due to a unit increment in income is called _____.

- A. marginal propensity to save
- B. average propensity to consume
- C. marginal propensity to consume**
- D. average propensity to save

Solution: Marginal propensity to consume (MPC = Change in Consumption / Change in Income). Marginal propensity to save (MPS): The proportion of any extra income that is saved by consumers. MPS = Change in savings / Change in income. The sum of MPS and MPC must be equal to 1. Average propensity to save (APS) : The proportion of income that is saved rather than spent on current goods and services. Average propensity to consume (APC): Percentage of income spent on goods and services by an individual. It is arrived at by dividing the total amount spent on household consumption by the total disposable income.

Q61. What is the change in fiscal deficit if both the primary deficit and interest payments are doubled?

- A. Increase by 100%**
- B. Increase by 200%
- C. Decrease by 50%
- D. Decrease by 100%

Solution: Increase by 100%. Primary deficit – It is defined as the fiscal deficit of the current year minus interest payments on previous borrowings.

Q62. In Banking field, SLR means:

- A. Simple Leading Rate
- B. Statutory Lending Rate
- C. State Liquidity Ratio
- D. Statutory Liquidity Ratio**

Solution: Statutory Liquidity Ratio (SLR): It is the minimum percentage of deposits that a commercial bank has to maintain in the form of liquid cash, gold or other securities. Cash Reserve Ratio (CRR): The percentage of a bank's total deposits that it needs to maintain as liquid cash with the Reserve bank of India. Bank Rate: The rate of interest which is charged by a central bank while lending loans to a commercial bank.

Q63. In Financial field, FCCB stands for:

- A. Foreign Currency Commercial Bond
- B. Foreign Currency Corporate Bonds
- C. Foreign Currency Convertible Banks
- D. Foreign Currency Convertible Bond**

Solution: Foreign Currency Convertible Bond (FCCB): A type of bond issued by an Indian company in a foreign currency that can be converted into the issuer's equity shares at a

predetermined conversion price. These bonds are denominated in a foreign currency and offer the option for conversion into equity shares of the issuing company.

Q64. The Fiscal Responsibility and Budget Management Act (FRBMA) was introduced in the year _____.

- A. 2002
- B. 2003**
- C. 2007
- D. 2004

Solution: 2003. The Fiscal Responsibility and Budget Management Act (FRBMA) aims to introduce transparency in India's fiscal management systems. The Act's long-term objective is for India to achieve fiscal stability and to give the Reserve Bank of India (RBI) flexibility to deal with inflation in India. The FRBM Act was enacted to introduce more equitable distribution of India's debt over the years.

Q65. The status of Maharatna, Navratna, Miniratna to the Central Public Sector Enterprises (CPSEs) is conferred by :

- A. The Department of Private Enterprises
- B. The Department of Public Enterprises**
- C. The Ministry of Home Affairs
- D. The Ministry of Commerce and Industry

Solution: The Department of Public Enterprises. Examples: Maharatna – Bharat Heavy Electricals Limited, Bharat Petroleum Corporation Limited, Coal India Limited. Miniratna – Airports Authority of India, Antrix Corporation Limited, Balmer Lawrie and Co. Limited, Bharat Coking Coal Limited. Navratna – Bharat Electronics Limited, Container Corporation of India Limited, Engineers India Limited, Hindustan Aeronautics Limited.

Q66. How does most of India's foreign trade take place?

- A. Through land and sea routes
- B. Through sea and air routes**
- C. Through land and air routes
- D. Equally through land ,air and sea routes each

Solution: Through sea and air routes. Almost 95% of India's foreign trade by volume and 77% by value is transported by Maritime transport (Sea routes). A small portion is also carried through the land routes to neighbouring countries like Nepal, Bhutan, Bangladesh and Pakistan. The Ministry of Commerce and Industry controls the foreign trade in India.

Q67. Which of the following is NOT classified as a Central Public Sector Enterprise?

- A. Macroratna**
- B. Miniratna
- C. Maharatna
- D. Navaratna

Solution: Macroratna . Central Public Sector Enterprises (CPSEs) are classified as Maharatna, Navratna, and Miniratna. Macroratna is not a classification of CPSE. 13 Navratna Companies and 12 Maharatna Companies and 73 Miniratna (Miniratna Category-I – 62 companies. and Miniratna Category-II – 12 companies.) in India as of June 2023.

Q68. Which of the following is NOT correct in the context of

PSUs and their year of establishment?

- A. Balmer Lawrie & Co. Ltd. in 1867
- B. Damodar Valley Corporation in 1958**
- C. Oil and Natural Gas Corporation in 1956
- D. Airports Authority of India in 1995

Solution: Damodar Valley Corporation in 1958 : (Objectives - Flood control, water supply for domestic and industrial use, generation of electricity). Public Sector Undertakings (PSUs) are government owned establishments, which are established and owned by the Government of India or State governments of India. Balmer Lawrie & Co. Ltd. - Founded - 1 February 1867, Headquarter - Kolkata. Oil and Natural Gas Corporation Limited: Founded - 14 August 1956, Headquarter - New Delhi. Airports Authority of India: Founded - 1 April 1995, Headquarter - New Delhi.

Q69. Government essentially announces Minimum Support Price (MSP) for _____ crops.

- A. 17
- B. 8
- C. 34
- D. 22**

Solution: 22. These crops include 14 crops of the kharif season, 6 rabi crops, and two other commercial crops. Twenty-two crops covered under MSP are Paddy, Bajra, Jowar, Maize, Arhar, Ragi, Moong, Groundnut-in-shell, Urad, Soyabean, Nigerseed, Sunflower, Sesamum, Cotton, Barley, Wheat, Gram, Rapeseed/Mustard Seed, Masur (lentil), Jute, Copra and Safflower. MSP - Minimum price set by the government for certain agricultural products and is a form of government intervention to insure the farmers against a steep decline in the prices of their goods and to help them prevent losses.

Q70. If the interest rate goes up, the demand for money will _____.

- A. First rise and then falls
- B. rise
- C. remain the same
- D. fall**

Solution: Fall. Inflation and Interest rate, both have an inverse relationship. Increased interest rates : It will slow down economic growth, reduce disposable income, bring appreciation to exchange rate, lead to more savings, give rise to unemployment. Decreased interest rates : It will boost economic growth, bring depreciation to the exchange rate, cost of borrowing will become cheaper, promote more spending and the situation of unemployment decreases.

Q71. Which of the following is a possible criticism of privatisation?

- A. Expansion of bureaucracy and efficiency in public enterprises
- B. Excessive government interference into private businesses
- C. Limited access to essential services for marginalised populations**
- D. Reduced competition and innovation in the market

Solution: Privatisation : Transfer of government service or assets to the private sector. Aim - Providing a strong momentum to the inflow of FDI, Improving the efficiency of public sector undertakings (PSUs).

Q72. Which of these statements is true?

- A. Under competitive asset market conditions, the price of a bond must always be equal to its present value in equilibrium.**
- B. Under competitive asset market conditions, the price of a bond must be less than its present value to benefit the seller
- C. Under competitive asset market conditions, the price of a bond must exceed its present value to benefit the buyer.
- D. Under competitive asset market conditions, the present value must exceed the price of a bond to benefit the seller.

Solution: Market prices are influenced by demand and supply interactions, with equilibrium price balancing factors. Changes occur when demand or supply shifts. The five factors that affect the market equilibrium are excess demand, excess supply, changes in demand and supply, competitive factors, and strategic factors.

Q73. 'A company hires regular service(s) from external sources, mostly from other countries, which were previously provided internally or from within the country'. This business practice is known as:

- A. liberalisation
- B. privatisation
- C. outsourcing**
- D. globalisation

Solution: outsourcing . Economic liberalisation is the lessening of government regulations and restrictions in an economy in exchange for greater participation by private entities. Globalisation is the process by which the world is becoming increasingly interconnected as a result of massively increased trade and cultural exchange. Privatisation occurs when a private, non-government party becomes the owner of a government-owned business, operation, or property.

Q74. Identify which of the following statements are correct. 1.Hindustan Copper Limited (HCL) was incorporated on 9 November 1967. 2.The Khetri Copper Complex (KCC) is located in Rajasthan. 3.The headquarters of Mineral Exploration Consultancy Ltd. is located in Jaipur.

- A. 1 and 2 only**
- B. 1, 2 and 3
- C. 2 and 3 only
- D. 1 and 3 only

Solution: 1 and 2 only. Hindustan Copper Limited (HCL) - a public sector undertaking (under the administrative control of the Ministry of Mines). Headquarters - Kolkata. The headquarters of Mineral Exploration Consultancy Ltd. is located in Nagpur.

Q75. A set of accounts that summarises a country's transactions with the rest of the world is known as

- A. Capital Investment
- B. Balance of Payments**
- C. Budget
- D. Balance of Budget

Solution: Balance of Payments -A summary of a country's economic transactions with the rest of the world, including exports, imports, and financial flows. Capital investment The money invested in long-term assets such as machinery, buildings, and infrastructure to enhance production capacity.

Budget – A financial plan that outlines expected revenues and expenditures for a specific period, typically a fiscal year.
Balanced budget: Government spending = Government revenue. No deficit or surplus.

Q76. Which of the following is NOT a 'Maharatna' status company?

- A. IOCL
- B. GAIL
- C. BHEL
- D. MTNL**

Solution: MTNL (Mahanagar Telephone Nigam Limited): It is a Navratna company wholly owned subsidiary of Bharat Sanchar Nigam Limited. It provides services in the metro cities of Mumbai and New Delhi in India. Founded : 1986.
Headquarter : New Delhi. Maharatna status is granted to a company which has recorded more than Rs. 5,000 crores of net profit for three consecutive years. Example : NTPC, ONGC, SAIL, BHEL. Total Maharatna in India – 12 (as of May 2023).

Q77. Tools, machines, building, etc. that are required for production are called:

- A. Fixed capital**
- B. Working capital
- C. Physical capital
- D. Human capital

Solution: Fixed Capital. They are assets used in the productive process, Other Examples are Property, Plant, and Equipment. Working capital can be defined as the difference between the current assets and liabilities, Example – Cash and cash equivalents. Physical capital refers to assets, such as building, machinery, and vehicles, which are owned and employed by an organisation.

Q78. The simultaneous shifts of both the demand curve and the supply curve can happen in which of the following ways? I. Supply curve shifts leftward and demand curve shifts rightward. II. Both supply and demand curves shift leftwards. III. Supply curve shifts rightward and demand curve shifts leftward.

- A. Only I
- B. I, II and III**
- C. I and II
- D. II and III

Solution: I, II and III. When both curves shift rightward, the equilibrium quantity increases, but the equilibrium price may increase, decrease or remain unchanged. When Both curves shift towards the left, the equilibrium quantity decreases but the equilibrium price may increase, decrease or remain the same. When demand curve shifts right and supply curve to the left, the equilibrium price increases but the equilibrium quantity may increase, decrease or remain the same. All depending on the magnitude of shift in the two curves.

Q79. The percentage change in demand for a good, divided by the percentage change in its price is known as _____.

- A. perfect competition
- B. price elasticity of supply
- C. price elasticity of demand**
- D. production function

Solution: Price elasticity of demand. Demand is price elastic if a change in price leads to a bigger % change in demand. At an elasticity of zero, consumption would not change at all, in spite of any price increases. The price elasticity of supply is the percentage change in quantity supplied divided by the percentage change in price.

Q80. Which is the most traded-around currency of the world?

- A. INR
- B. USD**
- C. Euro
- D. Dinar

Solution: USD . Top Ten countries most traded currency are US dollar (USD), Euro (EUR), Japanese yen (JPY), Pound sterling (GBP), Australian dollar (AUD), Canadian dollar (CAD), Swiss franc (CHF), Chinese renminbi (CNH).

Q81. Excess demand leads to: (A) inflationary gap. (B) rise in employment level

- A. only B
- B. Both A and B
- C. Only A**
- D. Neither A nor B

Solution: Excess Demand – When the planned aggregate expenditure is greater than the available output at full employment level. It leads to an inflationary gap in the economy. Inflationary Gap – When aggregate demand is more than the level of output at the full employment level. Reasons for excess demand – Rise in propensity to consume, Reduction in taxes, Increase in Government expenditure, Fall in Imports, Rise in Exports etc.

Q82. The general target of the monetary policy is to ensure _____ . A) price stability in the economy B) greater tax collections for the government C) employment generation in the rural areas

- A. Both B and C
- B. Only C
- C. Both A and B
- D. Only A**

Solution: Only A. Monetary policy – Actions and strategies adopted by a central bank to control the money supply, interest rates, and credit availability in an economy, aiming to achieve stable prices and sustainable economic growth.

Q83. SENSEX is an index of Bombay Stock Exchange's top _____ companies.

- A. 30**
- B. 40
- C. 100
- D. 50

Solution: 30. Bombay Stock Exchange (Asia's first stock exchange) was started by Premchand Roychand on 9 July 1875. Location – Mumbai, Dalal Street, (Maharashtra). In 1986, it established the BSE SENSEX (a benchmark index of 30 of India's largest and most liquid public companies). National Stock Exchange of India (NSE) was founded in 1992. NSE launched the Nifty 50 index in 1996 (Top 50 companies).

Q84. Which government organization is the principal regulator of all the players operating in the Indian securities market?

- A. IRDAI
- B. NABARD
- C. SEBI**
- D. RBI

Solution: SEBI (Securities and Exchange Board of India). Other government organizations: IRDAI (Insurance Regulatory and Development Authority) – regulatory authority for the insurance sector in India. NABARD (National Bank for Agriculture and Rural Development) – provides credit and financial support to rural and agricultural sectors. RBI (Reserve Bank of India) – responsible for controlling the country's monetary policy and issuing and regulating the Indian rupee.

Q85. The purchasing power of a currency relative to another at current exchange rates and prices is ____.

- A. Real exchange rate**
- B. Balance of payments
- C. Nominal exchange rate
- D. Purchasing power parity

Solution: Real exchange rate. The Balance of payments is an accounting of a country's international transactions for a particular time period. The Nominal exchange rate is defined as the number of units of the domestic currency that can purchase a unit of a given foreign currency. Purchasing power parity is a theory which states that exchange rates between currencies are in equilibrium when their purchasing power is the same in each of the two countries.

Q86. Which of the following is NOT a Government of India initiative to attract Foreign Direct Investments (FDI) in India?

- A. The Government of India has eased the approval mechanism for FDI proposals.
- B. Proposals of FDI are mandated to be cleared within ten days of receiving the application
- C. States must focus on strengthening the single window clearance system.
- D. The Government of India announced the 'Entrepreneurship Curriculum' to be taken up by the states.**

Solution: Foreign direct investment (FDI) – An investment made by a firm or individual in one country into business interests located in another country. Top 5 FDI Sourcing Nation into India FY 2022–23: Mauritius (26%), Singapore (23%), USA (9%), Netherlands (7%) and Japan (6%). Top 5 sectors receiving highest FDI Equity Inflow during FY 2022–23: Services Sector (16%), Computer Software & Hardware (15%), Trading (6%), Telecommunications (6%) and Automobile Industry

(5%).

Q87. Who gave the term 'Hindu rate of growth', which referred to as the low growth rate period in the Indian economy?

- A. Kaushik Basu
- B. Raj Krishna**
- C. Jagdish Bhagwati
- D. Amartya Sen

Solution: Raj Krishna. The term 'Hindu rate of growth' was coined in 1978 to describe the slow growth and to explain it against the backdrop of socialist economic policies. It is related to Gross Domestic Product. Before economic reforms of 1991, India's economic growth remained stagnant and low, while per capita income averaged around 1.3%.

Q88. What is the value of investment multiplier when $MPC = MPS$?

- A. 1
- B. 2**
- C. infinite
- D. 10

Solution: 2. $MPC + MPS = 1$. When $MPC = MPS$, $MPS = \frac{1}{2} = 0.5$
Now, Multiplier = $1 / MPS = 1 / 0.5 = 2$.

Q89. A cost incurred in the past and that cannot be recovered in the future is called

- A. economic cost
- B. floating cost
- C. sunk cost**
- D. prime cost

Solution: Sunk Cost. The economic cost is the sum of all the variable and fixed costs plus opportunity costs. Floatation Cost associated with issuing new equity, or newly issued common stock. Prime Costs are the total direct costs of production, including raw materials and labor.

Q90. Which among the following statements is incorrect?

- A. An increase in the bank rate will decrease the money supply.
- B. Lower the Cash Reserve Ratio (CRR), lower will be the liquidity in the system.**
- C. Higher the Cash Reserve Ratio (CRR), lower will be the liquidity in the system.
- D. Lower the Statutory Liquidity Ratio (SLR), higher will be the liquidity in the system.

Solution: The lower the CRR, Higher will be the liquidity in the system. Increasing the CRR reduces the lendable resources of banks, which may lead to a scarcity of funds.